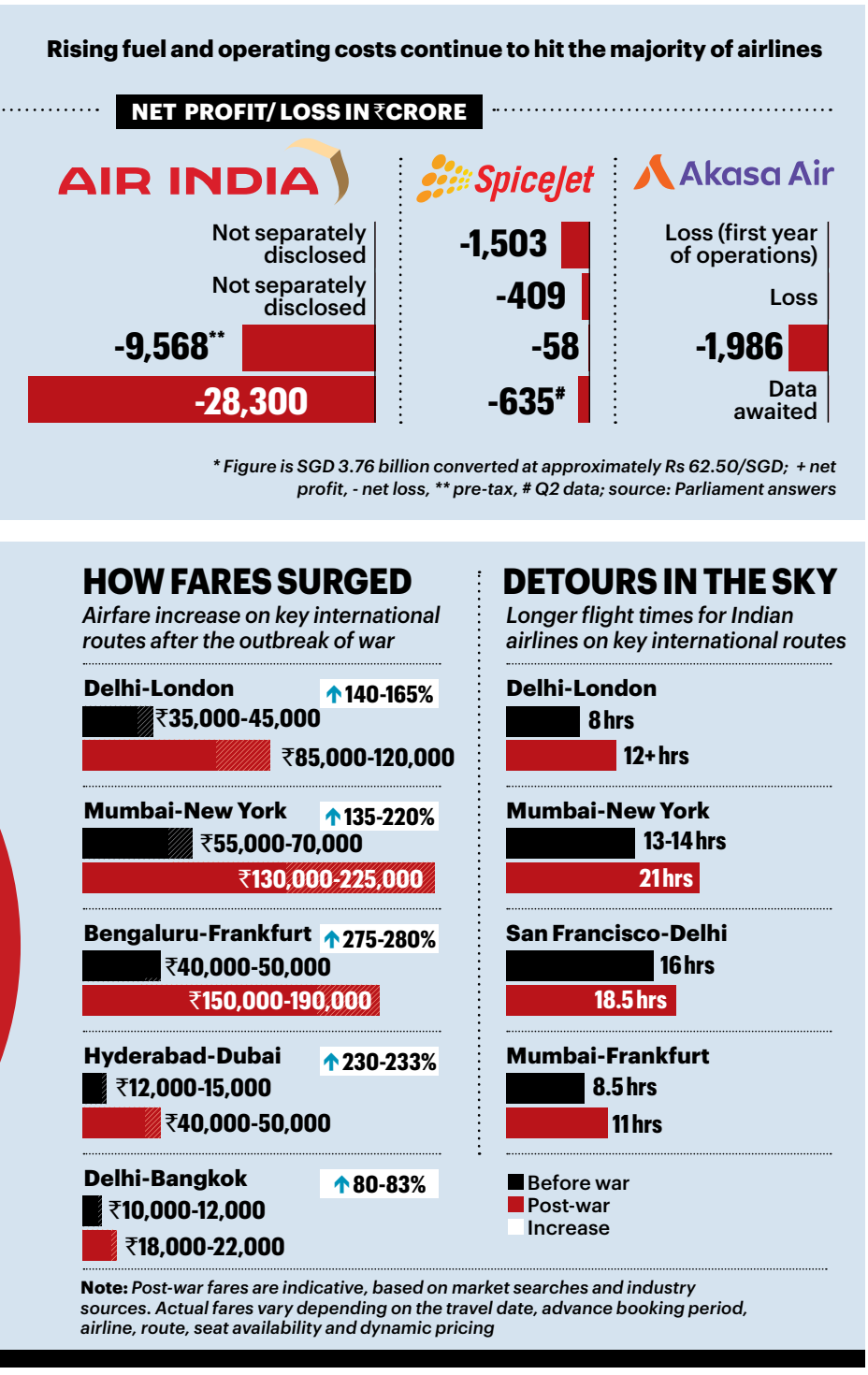


it Rs 985 crore annually. There are also concerns about precedent.

VAT, however, is not the only tax burden airlines face. There is also the 11 per cent excise duty on ATF, which rises automatically as prices rise because it is calculated as a percentage rather than a fixed levy. "In the past, airlines have represented that excise duty be made an absolute number rather than a percentage of ATF price," the FIA said. Crack spreads—the difference between crude and refined fuel prices—are another issue that compounds the strain.

Meanwhile, the elephant in the room—bringing ATF under GST—remains unaddressed, given that it is a politically difficult decision. Including ATF under GST could intensify pressure to bring petrol and diesel into the same framework, further eroding states' fiscal autonomy.

SOARING LOSSES

Indian airlines were already struggling before the war in West Asia. The crash of the Air India flight in Ahmedabad in June 2025 and IndiGo's failure to comply with the new flight crew time limitations mandated by the DGCA later in December had exposed the chinks in the armour of the country's leading carriers. IndiGo also had 50-70 planes sitting idle because of technical glitches involving Pratt & Whitney engines. Cancelled flights had become a norm.

Government data tabled in Parliament showed the industry posting a collective net loss of Rs 924 crore in FY24, ballooning to Rs 5,290 crore in FY25 (see *Survival Mode*).

The government's Rs 5,000-crore emergency loan scheme has provided some relief, but carriers have largely responded by cutting services and levying fuel surcharges. Domestic passengers now pay an additional Rs 299-899 per ticket, while international travellers face surcharges of around Rs 17,000 per sector to Europe and Rs 23,200 to North America and Australia. Even so, fare hikes can go only so far. "At the end of the day, I would not want to price myself out of competition," says one airline executive. "Passing on the burden to consumers also has its limits."

According to Jagannarayan Padmanabhan, senior director and global head of consulting at Crisil Intelligence, India remains one of the fastest-growing aviation markets globally, with strong structural demand from rising middle-class travel, infrastructure expansion and regional connectivity. "But the current cycle is showing that growth alone does not ensure sustainable profitability," he says. Airlines that combine scale, disciplined pricing and fuel-efficient operations are likely to weather the turbulence; those with weaker balance sheets may not.

In March, credit rating agency ICRA revised its outlook on the sector from 'Stable' to 'Negative', where it remains. At India's international airports, the departure boards still display the same destinations. The flights just take longer, cost far more and sometimes do not fly at all. ■